Rīgas ūdens

Issuer review · 6M2026

Analysis date: 2026-10-22
Rating: Moody's A3, stable outlook (affirmed 2026)[1]
Next report: 9M 2026 interim report - 2026-11-27

Position OK. A water utility owned by the City of Riga and rated A3 by Moody's[2]. 1H EBITDA EUR 19.7m (+25%), net debt / EBITDA 2.6x, equity ratio 71%, loan covenants met[3].

EBITDA (6M2026)	Net debt (6M2026)	Net debt / EBITDA (6M2026)	Equity ratio (6M2026)
19.7 EUR m	**89.9 EUR m**	**2.6x**	**71.0%**
▲ 25.5 % vs 6M2025	▲ 42.2 % vs 6M2025	▲ 0.5x vs 6M2025	▼ 1.4 p. p. vs 6M2025

Quick summary

- **Results improving:** 1H revenue EUR 45.4m (+15%), EBITDA EUR 19.7m (15.7m), net profit EUR 4.3m (0.5m); tariffs raised from 2025-12-01[4].
- **Investment and debt rising:** EUR 24.1m invested in the half year, net debt EUR 89.9m, net debt / EBITDA 2.6x (2.1x); the 2025-2028 investment programme is EUR 235m[5].
- **Covenants met:** DSCR 3.9 (target 2.0), interest coverage 14.2[3].
- **More funding:** a new prospectus approved for up to EUR 40m in the next bond tranche (planned for Q4), a EUR 50m NIB facility signed; the regulator raised the allowed return on capital to 6.28% from 2027[6,7].

Instruments held and ISINs

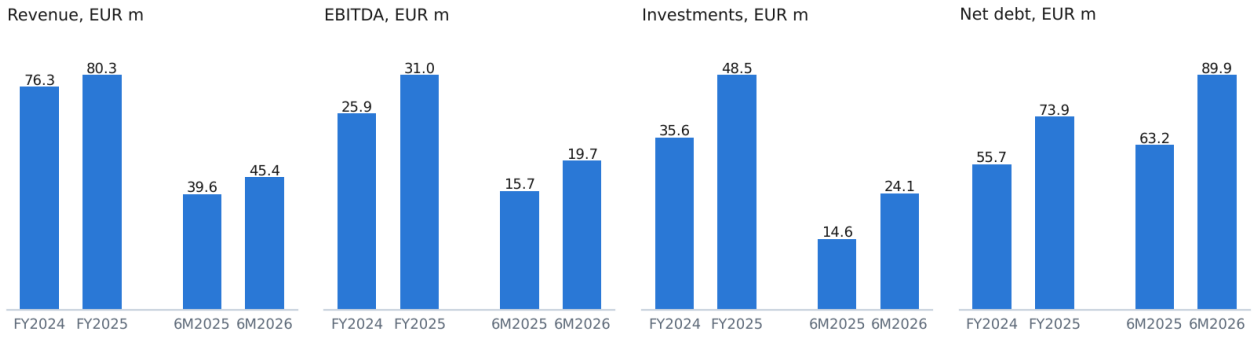
ISIN	Instrument	Coupon	Maturity	Note
LV0000104487	Rīgas ūdens 4% green bond 2030	4.0%	2030-06-04	EU Green Bond (EuGB) standard, first tranche of a EUR 60m programme; quarterly coupons; listed 2025-06-05

Key ratios

Metric	FY2024	FY2025	6M2025	6M2026	Change
Revenue, EUR m[8,9]	76.3*	80.3*	39.6*	45.4*	**▲ 14.6 % vs 6M2025**
EBITDA, EUR m[8,9]	25.9*	31.0*	15.7*	19.7*	**▲ 25.5 % vs 6M2025**
Net profit, EUR m[8,9]	-18.3*	0.59*	0.5*	4.3*	**▲ 3.8 EURm vs 6M2025**
Investments, EUR m[8,9]	35.6*	48.5*	14.6*	24.1*	▲ 65.1 % vs 6M2025
Net debt, EUR m[8,9]	55.7*	73.9*	63.2*	89.9*	**▲ 42.2 % vs 6M2025**
Net debt / EBITDA[8,9]	2.2x*	2.4x*	2.1x*	**2.6x***	**▲ 0.5x vs 6M2025**
Equity ratio[8,9]	74.5%*	70.7%*	72.4%*	**71.0%***	**▼ 1.4 p. p. vs 6M2025**
Debt service coverage (DSCR)[8,10]	–	3.7x*	–	**3.9x***	**▲ 0.2x vs FY2025**

Colours: green change – the metric is improving, red – worsening. Latest-period cell background: green – good level, amber – average, red – weak (tool benchmarks, config/metric_rules.yaml).

* – taken from the report summary; ᶜ – calculated by the tool. Small numbers next to text link to the source (opens the document at the cited page).



Business performance review

- The service contract with Riga City runs to 2029-07-23; tariffs are set by the Public Utilities Commission (water EUR 1.41/m³, sewerage EUR 1.26/m³, treatment EUR 0.40/m³ excl. VAT)[11].
- On 2026-03-25 the Riga City Council decided to keep its direct shareholding[12].

Financials

- FY2025 revenue EUR 80.3m, EBITDA EUR 31.0m, profit EUR 0.6m; the 2024 loss of EUR 18.3m was due to asset revaluation[8].
- Equity EUR 536.3m, total assets EUR 755.3m[9].

Past plans vs outcomes

Plan / target	Outcome	What changed and why	Status
Investment programme 2025-2028: EUR 235m	30.88% used by mid-2026[13]	On track[13].	**In progress**
Green bond programme of up to EUR 60m	EUR 20m issued (2025); next tranche of up to EUR 40m planned for Q4 2026[14,1]	In progress: the 2025 issue was 228% oversubscribed[14].	**In progress**
DSCR of at least 2.0 (2026 target)	6M 2026: 3.9[10]	Met[10].	**Met**

Investor information & conclusions

- **Instrument held:** a 4% green bond (EU Green Bond Standard), EUR 20m, quarterly coupons, maturing 2030-06-04[15]. All proceeds allocated to EU taxonomy-aligned projects (Sustainable Fitch review)[1].
- **Credit quality:** Moody's A3, municipal ownership, regulated tariffs and a high equity ratio[16].
- **Conclusion:** low risk; debt is rising with investment, but metrics are well above covenant limits.

ESG report

Exclusionary screening (companies)

☑ Yes, the company is not involved in excluded sectors: controversial and nuclear weapons, tobacco, gambling and restricted sectors in fossil fuel
  - Water supply and wastewater treatment: no activity in excluded sectors[12].

☑ Yes, the company does not have red flag/signal related to controversies based on UN Global Compact, OECD Guidelines for Multinational Enterprises or any other relevant principles/standards
  - No UN Global Compact or OECD related controversies or environmental fines found.
  - Treatment plant overload 0.34% (limit 2%)[17].

☐ Yes, the company is not in the list of sanctions (add a screenshot)
Needs review

- Automatic check against the EU, UN, US OFAC and UK consolidated sanctions lists.

☑ Yes, issues were not identified from adverse media checks (add a screenshot)
- No adverse news found (2026-10-22).
- Following odour complaints in the Vārnukrogs area, a sludge store was covered in December 2025[7].

In case any red flags, risks, unclarities were identified then additional checks (sanctions screening and adverse media checks) on the company's Ultimate Beneficial Owners and/or senior management shall be performed.

Additional comments:

ESG integration and positive screening (positive answers imply higher allocation)

☑ Yes, the company is promoting environmental or social characteristics (activities, ESG policy, good ESG rating, etc)
- Green bond under the EU standard, proceeds for wastewater treatment (94%) and solar PV (5%)[14]
- PFAS treatment pilot[18].

☑ Yes, the activities of the company or it's strategy is aligned with the taxonomy and/or Paris agreement targets (e.g. net zero commitment)
- 100% of bond proceeds allocated to EU taxonomy-aligned projects[1].

☑ Yes, the company does not have yellow flag/signal related to controversies based on UN Global Compact or any other relevant principles/standards
- No yellow flags found.
- The company itself names impact areas: GHG leakage, treatment during heavy rain, micropollutants, water losses[19].

☑ Yes, the company fulfills the expectations from SEB thematic and sector policies

Applicable
- The Investments policy[20] and the Environmental policy on climate, nature and water[21].

Met
- EU Green Bond Standard with external review[1]
- Wastewater treatment within limits[17]
- Material impacts disclosed[19].

Additional comments:

Engagement

☐ Is there a need for pro-active engagement with the company?
- No need: a regulated municipal company with a green investment programme.

Additional comments:

Indicators

☑ Yes, the indicators of the company support the targets of sustainability and PAI indicators followed by the Fund
- Treatment plant overload 0.34%[17]
- 100% of bond proceeds to taxonomy-aligned projects[1]
- Renovate 90 km of water mains and 55 km of sewers by 2030[22].

Additional comments:

Conclusion: No exclusions or red flags. EU-standard green bond financing wastewater treatment investment.

SEB policies applied: Policy on Sustainability Considerations in Investments (SEB AB); Environmental Policy on Climate, Nature and Water (thematic); Social and Human Rights Policy (thematic); Governance expectations in sector policies (anti-corruption, tax, reporting)

Sources

1. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 2026
2. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 10, 2026
3. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 17-18, 34, 2026
4. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18-19, 22, 2026

5. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 12, 18, 2026
6. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 43, 2026
7. Rīgas ūdens - Annual report 2025 (audited), p. 28, 2026
8. Rīgas ūdens - Annual report 2025 (audited), p. 17, 2026
9. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 18, 2026
10. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 17, 2026
11. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 10, 22, 2026
12. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 10, 2026
13. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 12, 2026
14. Rīgas ūdens - Annual report 2025 (audited), p. 20, 2026
15. Rīgas ūdens - Annual report 2025 (audited), p. 20-21, 2026
16. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 5, 17, 2026
17. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 15, 2026
18. Rīgas ūdens - Annual report 2025 (audited), p. 5, 2026
19. Rīgas ūdens - Annual report 2025 (audited), p. 48, 2026
20. SEB Policy on Sustainability Considerations in Investments (2026-04-15), 2026-04-15
21. SEB Environmental Policy on Climate, Nature and Water (2026), 2026
22. Rīgas ūdens - Interim report 6M 2026 (unaudited), p. 32, 2026

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